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Chapter 7
Appendix A



Landed Costs

This section explains the concept of Landed Costs.

Landed Cost Code Maintenance

Up to 10 landed cost codes and descriptions may be set up in the Drinks Inventory Management Descriptions file with the major type 'LAND'. The minor codes should be 2 characters long with a description limit of 25 characters.

Having established the landed cost code on Drinks Inventory Management Descriptions, the Landed Costs Maintenance function is used to establish the parameter settings for each code.

These parameters are maintained automatically on the Drinks Inventory Management Description file entries in the following fields:

Limit

1 - Percentage.

0 - Value.

VAT Code

1 - Compound.

0 - Not.

Rate

1.00 - Price dependant.

0.00 - Not.

Landed Cost Calculation Parameters

The following parameters can be established for each of the landed cost codes:

Percentage / Value

In all places the user has the ability to specify the entered costs in either Percentage or Value terms.

A percentage relates to:

- The price when specifying on the Item/ Supplier Profile, Purchase Order Line and GRN.
- Or to the standard cost when specifying on the Item / Stockroom.

A value is absolute, not related to the price (or cost) and always in the purchasing unit of measure.

The settings are:

1 - Percentage.

0 - Value.

Price Dependant Flag

Each of the costs will fall into one of two categories, either accumulative with the price, or not.

1 - Price dependant. These are based on the price and each accumulated into a total value.

0 - Not price dependant. These are added on to the accumulated value to give the total cost.

Compound Indicator

This controls whether the cost element is compounded with other costs or accumulated independently and depends whether the cost element is a percentage or a value.

1 - Compound cost element.

0 - No compound.

For percentages:

This indicates, when other percentage cost elements are used, whether to compound or accumulate them when applying to the price

1 - Compound the percentages. This will multiply each percentage by the price independently and accumulate the results.

0 - Accumulate the percentages. This will accumulate each of the percentages and multiply the result by the price.

For values:

This indicates whether the cost value should be accumulated with the price before applying the percentages, or after applying the percentages.

- 1 - Apply values before percentages.
- 0 - Apply values after percentages.

Landed Cost Calculation

Simply put the Landed Cost Calculation is:

Landed Cost Price = Dependent Percentages + Dependant Values + Non-dependent Percentages + Non-dependent Values.

There are eight possible status's for a cost element; the numbers indicate the sequence in which they are applied and relate to the eight calculation points below:

	Percentage		Value	
	Compound	Accumulate	Before	After
Dependent	2	3	1	4
Non-dependent	6	7	5	8

The line price is the basis for the calculation of the full landed cost price and is described here as the price accumulated and increased to a final landed cost price.

- Sum all the dependent values required before percentages and add to the price.
- For each dependent percentage that's compound add percentage of the accumulating price to the price.
- Multiply price by the sum of all dependant percentages that are not compound.
- Sum all the dependant values required after percentages and add to the price.
- Sum all non-dependant values required before percentages and add to the price.
- For each non-dependant percentage that's compound add percentage of price to the price.
- Sum all non-dependant percentages not compound and add to the price.
- Sum all non-dependant values required after percentages and add to the price.

Landed Costs Example

Code	Description	Pct/Val (1/0)	Cmpd Ind (1/0)	Prc Dep (1/0)
01	Post & Packaging	1	1	1
01	Mark Kennedy Test L/C	0	0	0
02	Freight Cost	1	1	0
03	Customs & Excise	1	0	0
04	Port Duty	0	0	0
05	Bonding Charge	0	0	1
06	Storage	0	1	1
07	Insurance	1	0	1
08	Assembly	0	1	0
09	Carrier Charges	1	0	1
10	Handling	1	1	0

With landed costs set up as above, with a landed costs of either £10 or 10% for each code, then for an item which is purchased at a cost of £11.11 per case, with 12 bottles per case, then receipt of 100 cases would invoke the following landed costs.

The landed costs would be calculated in the following sequence:

		Landed Cost		Unit Cost
Base Price		Unit Cost	100 Case	
11.11 per case, 11.11/12 per bottle				0.92583
1	Dependent Values before Percentages Code 06 Storage, value 10.00	10.00000	12000.00000	10.92583
2	Compound Dependent Percentages Code 01 Postage, 10% of 10.92583	1.09258	1331.09960	12.01841
3	Non Compound Dependent Percentages Code 07 Insurance, 10% of 12.01841 Code 09 Carrier 10% of 12.01841	1.20184 1.20184	1442.20956 1442.20956	13.22025 14.42209
4	Dependent Values After Percentages Code 05, Bond Value 10.00	10.00000	12000.00000	24.42209
5	Non Dependent Values before Percentages Code 08, Assembly, Value 10.00	10.00000	12000.00000	34.42209
6	Non Dependent Compound Percentage Code 02, Freight, 10% of 34.42209 Code 10, Handling, 10% of 37.86431	3.44221 3.78643	4130.65147 4543.71661	37.86431 41.65074
7	Non Dependent Non Compound Percentage Code 03, Customs, 10% of 41.65074	4.16507	4998.08828	45.81581
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8	Non Dependent Value After Percentages Code 04, Port Duty, Value 10.00	10.00000	12000.00000	5581581
	Total Landed Cost		65867.975098	

Total Line Cost = no of case * bottles per case * unit cost
 = 100 * 12 * 55.81581
 = 66978.97

The landed cost values shown on entry and enquiry screens are the landed costs of that element for the received quantity of the product, in this case the landed cost for 100 cases.